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Research Statement

My research interests fall within insurance and public economics. As a financial economist, my work involves asking research questions founded in institutional knowledge and assembling unique datasets to answer them. My work is policy-focused, with each paper aiming to make connections and contributions to the academic literature and contemporary policy debates.

Current Research

My dissertation focuses on the economics of workers' compensation insurance markets. My job market paper (link) studies the competitive, standalone public option.[1] Leveraging the adoption of public options in workers' compensation in several states in the 1990s, I document two key facts: 1) public options lead to more concentrated insurance markets, and 2) public options had little effect on loss ratios when adjusting for states concurrently changing their legislated benefit levels. While the public option may accept "residual" risks in the years just after formation, this is not a compelling explanation for the public option's significant market presence into the present. I also use a novel price measure to compare the prices of the public option relative to the private market. I find that public options tend to charge prices at least as high – and usually higher – than their private counterparts. While this does not suggest public options compete with observably lower prices, it may suggest public options play a role in segmenting the market.

The second paper explores employer decision-making in a setting (Texas, in this instance) where employers are not required to provide workers' compensation coverage formally. Texas is the only US state where all employers have this choice, and 25% of employers choose to opt out. By opting in, an employer limits its legal liability for workplace injuries by providing statutorily required benefits via workers' compensation insurance. If an employer opts out, an employee retains the right (and often needs) to sue under negligence to fully recuperate injury costs. I study how employers make this decision, specifically focusing on the costs of workers' compensation insurance (paid by employers opting in) and the amount by which wages increase to offset lost benefits (paid by employers opting out). To do so, I filed several open records requests that were fulfilled by the Texas Department of Insurance. These open records requests provide employer-level exposure and payroll information, from 2015-2021, among opt-in firms; for those firms, I also obtained detailed claim-level information. To complete the picture, I also obtained data related to the identification of self-insured employers and injury counts among opt-out firms.

Future Research

I aim to use my dissertation as the jumping-off point for a research agenda focused on the economics of workers' compensation insurance markets. To take full advantage of the unique and comprehensive Texas data, I plan to pursue additional projects focused on experience rating, fraud, and employee-level data. I will make use of experience rating rules in Texas during the 2015-2021 sample period, which include increases to the maximum amount of a claim that may be included in calculating an experience rating factor, the use of discontinuities in firm size to be subject to experience rating altogether, and the end of experience rating factor negotiations. I am

[1] Public options in this context are insurance companies that were originally created by the government. While they exist in many settings (public libraries, schools, and pools), they are often debated as a policy solution in health insurance markets.

also interested in insurer fraud suspicions in workers' compensation claims, which are reported in my data. A larger, long-term project I plan to pursue will merge the Texas data with payroll microdata at the individual level via the Census' Longitudinal Employer-Household Dynamics study. I have already laid the foundation to access these data through the Census' Research Data Center (RDC), with one housed at Wisconsin and one at the University of Minnesota, which would provide nearby access relative to St. Thomas' campus. The goal is to study the individual wage and employment effects of losing workers' compensation coverage. I am also interested in investigating how the opt in/out decision by firms in Texas affects their cost of capital.

Building off of my job market paper, I intend to provide clarity on who benefits from the idiosyncrasies of the workers' compensation insurance market. First, I want to quantify the explicit advantage public options receive from not paying federal taxes in many states. Second, I want to understand how the presence of public options, which can sell only workers' compensation insurance, may affect other lines of insurance, as competitors of public options commonly bundle workers' compensation insurance with other types of commercial insurance. Third, I plan to investigate rate filing patterns and regulatory advantages that may exist for the public option.

I have two additional, nascent projects on workers' compensation insurance markets, which use both core datasets from my dissertation: data from the National Association of Insurance Commissioners (NAIC) and the Texas open records requests. The first investigates the welfare effects of a public option (and its potential removal, as was done recently in Missouri) in the workers' compensation setting, focusing on the effects of a public option on market competition. The second explores how the public option alters the ways insurers compete across types of employers (including types of occupations and industries).

Other Current Research

My research interests also extend to broader topics of social insurance and household finance. My first publication (link), which appeared in the *Journal of Health Economics*, examines the quality of longevity for older Americans after age 65. The results suggest growing wealth inequality in the quality of additional life years and the amount of time spent working. These results have important implications for Social Security progressivity. A follow-up project (link), which studies individuals' subjective expectations of mortality and morbidity, has been revised and resubmitted as an invited chapter of a forthcoming book, titled "The Future of Healthy Aging and Successful Retirement," organized by the Pension Research Council at the Wharton School and published by Oxford University Press.

I have three other projects currently in progress that also address the insurance needs of older Americans in the context of household finance. The first focuses on the puzzle behind substantial term life insurance demand among individuals over 70 who are no longer working. My coauthor, Iris Park (a fellow graduate student), and I explore various rationales for this behavior, grounded in the academic literature and a survey we conducted of financial advisors. We fail to find a rationale that completely explains the puzzle. We then turn to the observed use of proceeds by surviving spouses, which, to our knowledge, is the first study to do so. The second project (link) focuses on changes in Social Security claiming incentives coming from Medicaid expansion among those aged 60-64. I document that, in some parts of the income distribution, claiming is affected by changes in Medicaid eligibility thresholds. This paper recently received a revise and resubmit request at the *Journal of Risk and Insurance*. The third project studies the decumulation patterns of older householders after reaching retirement age. The paper documents substantial wealth retention into later life and decomposes asset decumulation by asset category, overall household wealth levels, and financial literacy. The results suggest that the wealthiest individuals, and those with the highest levels of financial literacy, decumulate more slowly in old age. This paper recently received a revise and resubmit request at the *Geneva Papers on Risk and Insurance – Issues and Practice*.